Question 1: Solution

Clifford plc

Boutique hotel

Contracts can be verbal and it appears that the contract has been approved and that the rights of each party can be established.

(1 mark)

However, we cannot identify price or payment terms for the goods and services to be transferred as this meeting is yet to be held and therefore no contract for revenue exists at 31 August 20X5.

(1 mark)

Surplus goods

The contractual agreement to deliver the surplus goods in exchange for advertising services indicates approval and that each party's right has been established.

(1 mark)

As the advertising company has agreed to provide services with a value of £40,000 over a 3-month period, the payment terms have been identified.

(1 mark)

As goods are exchanged for future services, there is commercial substance to this agreement.

(1 mark)

It is probable that the services will be fulfilled and therefore it is probable that Clifford will collect the consideration that it's contractually entitled to and so a contract for revenue exists.

(1 mark)

Furniture outlet

For the goods already delivered, a performance obligation has been satisfied and so a contract for revenue exists at 31 August 20X5 for these items.

(1 mark)

No contract for revenue exists at 31 August 20X5 for the new order as it is not probable that Clifford will collect the consideration to which it will be entitled.

(1 mark)

Total marks (8 marks)

Question 2: Solution

Bowzah plc

Machinery repair

The contract appears to be a revenue contract in accordance with IFRS 15 as the signed contract indicates that the parties have approved it, the rights have been established, payment terms are agreed, payment is expected to be collected, and the contract has commercial substance.

(1 mark)

The performance obligation has been satisfied and therefore revenue can be recognised based on the transaction price of the contract.

(1 mark)

The interest-free credit option indicates that the transaction price contains a significant financing component and should therefore be adjusted.

(1 mark)

The transaction price is the present value of £300,000 in 2 years' time discounted at Bowzah's cost of borrowing of 6%

(1 mark)

Transaction price = £300,000 / 1.062 = £266,999)

(1 mark)

Therefore, revenue and trade receivables should be decreased by £33,001.

(1 mark)

The £33,001 represents interest income and should be recognised over the 2-year financing period. It should be presented in the operating category of the statement of profit or loss.

(1 mark)

Interest income for the year to 31 March 20X3 = £1,335 (£266,999 x 6% x 1/12). As the discount is unwound, and interest income recognised, the trade receivable balance is increased.

(2 marks)

JE 1	Dr SPL – revenue	33	
	Cr Trade receivables		32
	Cr SPL – interest income		1

Being correction of accounting for machinery repair contract

(2 marks)

Machinery servicing

Bowzah is acting as an agent and is collecting amounts on behalf of Hammer, the third-party service provider. Over the one year contract Bowzah will earn commission of £44,000, which is 10% of the total contract price. This is the total transaction price that can be recognised in the accounts of Bowzah.

(1 mark)

Bowzah can recognise revenue of £22,000 (£44,000 x 6/12 months) in the period to 31 March 20X3.

(1 mark)

Since revenue of £220,000 has been recorded, an adjustment of £198,000 (£220,000 - £22,000) is required.

(1 mark)

The £198,000 (£220,000 x 90%) paid to Hammer should not be recorded as cost of sales.

(1 mark)

JE 2 Dr SPL – revenue 198
Cr SPL – cost of sales 198
Being correction of accounting for commission received

(1 mark)

Consultancy

The contract does not meet the definition of a revenue contract in accordance with IFRS 15 as it is not yet possible to conclude that Bowzah will collect the consideration to which it is entitled due to the financial difficulties experienced by Cyan and the fact that amounts due to date have not been paid.

(1 mark)

No revenue can be recognised and the amount invoiced as a deposit should be reversed.

(1 mark)

As no amounts have been received, there is no requirement to recognise a liability.

(1 mark)

JE 3 Dr SPL – revenue 10
Cr Trade receivables 10
Being removal of revenue and receivables relating to deposit

(1 mark)

Total marks (20 marks)

Question 3: Solution

Veen Ltd

Variable price contract

The amount of revenue recognised in respect of the transactions to date should be based on the most likely outcome for the year.

(1 mark)

In this case, it is expected that the customer will exceed the 20,000-unit threshold and therefore the volume discount will apply.

(1 mark)

Veen should measure revenue based on the £100 unit price. Revenue of £530,000 ((1,750 + 1,750 + 1,800) x £100 per unit) for the goods sold in the 3 months to 31 December can be recognised.

(1 mark)

Revenue totalling £636,000 ((1,750 + 1,750 + 1,800) x £120 per unit) has been recognised and therefore an adjustment of £106,000 is required to decrease revenue.

(1 mark)

Potential refunds

As the customer has 60 days to return the goods, the revenue should be adjusted for the total amount of expected refunds of 12% of the total goods sold and not just for the 5% returned by the year end.

(1 mark)

The total revenue should therefore be measured as £246,400 (£280,000 x 88%) and therefore an adjustment of £19,600 (£280,000 x (12% - 5%)) is required.

(1 mark)

This amount should be recognised as a refund liability which can be released to revenue if there are no further returns after the 60 days has expired.

(1 mark)

A corresponding asset should be recognised for the right to recover goods that may be returned and cost of sales should be decreased accordingly.

(1 mark)

Total marks (8 marks)

Question 4: Solution

Valois Ltd

The construction contract meets the definition of a contract in accordance with IFRS 15 as the signing of the contract evidences that it is approved and that each party has rights under the contract. There is a stated transaction price and there are no concerns over Valois' ability to collect the consideration due under the contract. There is also commercial substance to the transaction as Valois's cashflows are expected to change.

(3 marks)

The contract has performance obligations which are satisfied over time. Valois can recognise revenue in respect of the performance obligations satisfied by 31 March 20X7.

(1 mark)

Satisfaction of performance obligations is estimated using the number of labour hours incurred as a proportion of the total labour hours.

(1 mark)

As it is most likely that the construction will be finished by 30 April 20X8, the incentive is included in the contract price.

(1 mark)

The penalty is not deducted as there is no evidence that it will be incurred.

(1 mark)

The total revenue that can be recognised is therefore £5,197,002 ((£11,000,000 x 105%) x 10,430/23,180).

(1 mark)

Revenue of £5,000,000 has already been recognised when the invoice was raised on 20 March 20X7, so an increase of £197,002 (£5,197,002 - £5,000,000) is therefore required, which will be presented as a contract asset at 31 March 20X7.

(1 mark)

Total marks (9 marks)

Question 5: Solution

Sustain Ltd

Sale of heat pump boilers

The contract contains three distinct performance obligations: the sale of the boiler, the installation of the boiler and the servicing of the boiler.

(1 mark)

The total sales price of £320,000 is allocated to the distinct performance obligations in proportion to their standalone selling prices.

(1 mark)

Performance obligation	Standalone price £		Revenue £
Sale of boiler	300,000	320,000 x 300,000 / 336,400	285,375
Installation of boiler	12,400	320,000 x 12,400 / 336,400	11,795
Servicing of boiler	24,000	320,000 x 24,000 / 336,400	22,830
	336,400		320,000

Total standalone price (1 mark)

Allocation of revenue (1 mark)

Sustain satisfied its performance obligation in respect of the sale and installation of the boiler at a point in time, which was on 1 May 20X3.

(1 mark)

Revenue of £297,170 (£285,375 + £11,795) can be recognised on that date.

(1 mark)

The servicing is a performance obligation satisfied over time as there is an ongoing obligation to perform this service over a 12 month period. Sustain can recognise 11 months' worth of revenue in respect of the service contract, which is a total of £20,928 (£22,830 x 11/12).

(2 marks)

A contract liability (deferred income) of £1,902 (£22,830 - £20,928) should be recognised in respect of the servicing revenue received but not yet earned.

(1 mark)

Sale of solar-powered equipment

The revenue in respect of the solar-powered equipment can be recognised at a point in time, when Sustain fulfils its performance obligations.

(1 mark)

The performance obligation is fulfilled when control of the goods passes to the customer, which occurred on 1 April 20X4 when the customer took receipt of the goods.

(1 mark)

No revenue can therefore be recognised in the year ended 31 March 20X4. The amount received is a deposit and recognised as deferred income (a contract liability) at 31 March 20X4.

(1 mark)

Sale with a right of return

The right to return represents variable consideration which should be remeasured when new information becomes available. In this case, the statement from the customer that no further returns will be made, and the supporting evidence provided by payment of amounts owing, indicates that the full 10% refund liability is not required.

(1 mark)

Sustain should release the remaining refund liability to revenue. The total refund liability created was £8,680 (£86,800 x 10%). Of this, £4,280 has been utilised and therefore the remaining liability of £4,400 should be removed and released to revenue.

(2 marks)

The corresponding asset representing the right to goods returned should also be removed and a corresponding amount recognised in cost of sales. It is not possible to calculate the amount of this as information on margins is not provided.

(1 mark)

Total marks (16 marks)

Question 6: Solution

Swarbrick Ltd

Sale of bricks

The sale of bricks is a buy-and-hold transaction and therefore the normal IFRS 15 rules regarding performance obligations being satisfied when control of the asset passes to the customer do not apply.

(1 mark)

In a buy-and-hold transaction, revenue can be recognised provided the following criteria are satisfied:

- The bill-and-hold agreement is substantive. This appears to be the case in the sale of bricks as there is a legitimate reason for Frey not taking delivery of the bricks at the date of sale.
- The goods are labelled as belonging to the customer and cannot be used or sold to another customer, which are both evidenced by the bricks being held in a separate area of the yard and being clearly labelled as belonging to Frey.
- The bricks are available for immediate transfer to the customer. Swarbrick makes its own deliveries and will deliver the goods within its standard 3-day delivery window when Frey is able to take delivery.

Substantive (1 mark)

Labelled and cannot be sold (1 mark)

Available for immediate transfer (1 mark)

As Swarbrick does not normally provide storage services and there is no additional fee charged for storing the bricks, it does not appear that the storage is a separate performance obligation and therefore the full amount of £412,000 can be recognised as revenue at 30 June 20X8.

(1 mark)

Sale of timber

Swarbrick has sold the timber to the financial institution, but the financial institution does not have control over the timber as Swarbrick has a call option which allows it to repurchase the timber at any time after 1 year has elapsed.

(1 mark)

Revenue cannot be recognised and instead this should be treated as a financing transaction as Swarbrick will receive £400,000 at the date of sale and be obliged to pay £500,000 to the bank when the call option is exercised.

(1 mark)

Revenue should not be recognised and instead a loan liability of £400,000 should be recognised. The loan liability is accounted for as a financial liability in accordance with IFRS 9.

(1 mark)

An interest expense on borrowings should be recognised and measured using the effective interest rate for the period 1 June to 30 June 20X8.

(1 mark)

Total marks (9 marks)

Question 7: Solution

Global Digi Bytes plc

Profitability

	Mega £'000	Terra £'000
Estimated contract price (300 x 95%)	1,344	285
Costs incurred (excluding administration costs for Terra)	(680)	(285)
Costs to complete (excluding administration costs for Terra)	(52)	(151)
Estimated profit/(loss)	612	(151)

Profit for Mega (1 mark)

Profit for Terra (2 marks)

Revenue recognised

	Mega	Terra
Allowable costs incurred/ total allowable costs (680 / 680 + 52) / (285 / 285 + 151)	92.9%	65.4%
	£'000	**£'000**
Total revenue (92.9% x £1,344,000) / (65.4% x £285,000)	1,249	186
Less: recognised to 30 September 20X5	(462)	-
Revenue recognised	787	186

Allowable costs % (1 mark)

Total revenue Mega (1 mark)

Revenue recognised Mega (1 mark)

Revenue recognised Terra (1 mark)

Provision for onerous contract

	Terra £'000
Estimated loss on contract	(151)
Loss incurred to date (£186,000 - £285,000)	(99)
Provision for onerous contract	(52)

(1 mark)

Contract asset/liability

	Mega £'000	Terra £'000
Total revenue recognised	1,249	186
Invoices raised	(1,000)	(250)
Contract asset/(liability)	249	(64)

(1 mark)

Statement of profit or loss

	£'000
Revenue (787 + 186)	973
Cost of sales (680 + 285 + 52 provision - 364 PY costs)	653
General and administrative expenses	10

(2 marks)

Statement of financial position

	£'000
Current assets	
Trade receivables (1,000 + 250 - 800)	450
Contract assets	249
Current liabilities	
Contract liabilities	64
Provision for onerous contract	52

Current assets (1 mark)

Current liabilities (1 mark)

Total marks (13 marks)

Question 8: Solution

Goldy Marks Ltd

Building

The building is a non-monetary asset and is therefore not retranslated at each year-end date. It is depreciated over its useful life based on the initial measurement in accordance with IAS 16 *Property, Plant and Equipment*.

(1 mark)

The carrying amount of the building at 31 December 20X3 is £926,471 (£1,029,412 x 18/20 years) in the statement of financial position.

(1 mark)

A depreciation expense of £51,471 (£1,029,412 / 20) is recognised in the operating category statement of profit or loss for the year ended 31 December 20X3, presented separately as depreciation is considered to be material.

(1 mark)

As Goldy measures buildings using the revaluation model, the building should be revalued to its fair value of €1,280,000 at 31 December 20X3.

(1 mark)

The spot rate at the revaluation date should be applied

(1 mark)

Fair value at 31 December 20X3 = £1,103,448 (€1,280,000 / 1.16).

(1 mark)

A revaluation increase of £176,977 (£1,103,448 - £926,471 carrying amount) is therefore recognised in other comprehensive income and will increase the revaluation surplus.

(1 mark)

Loan

The loan is a monetary item (liability) and is therefore retranslated at each year-end date in accordance with IAS 21 *The Effect of Changes in Foreign Exchange Rates*.

(1 mark)

The interest expense on the loan is translated at the average rate for the year.

(1 mark)

The loan is a financial liability, measured at amortised cost in accordance with IFRS 9 *Financial Instruments. The* interest expense increases the loan liability recognised in the financing category of the statement of profit or loss and the loan liability.

(1 mark)

Interest expense on borrowings = £50,420 ((€1,000,000 x 6%) / 1.19).

(1 mark)

The interest paid on 31 December 20X3 will be translated at the closing rate at 31 December 20X3 and deducted from the loan liability.

(1 mark)

Interest paid = £51,724 ((€1,000,000 x 6%) / 1.16).

(1 mark)

The closing loan balance is also retranslated at the year-end date. As the actual rate of interest is equal to the effective rate, the carrying amount of the loan in euros remains at €1,000,000.

(1 mark)

The closing balance on the loan is therefore £862,069 (€1,000,000 / 1.16).

(1 mark)

	£
Loan carrying amount at 31 December 20X2	833,333
Add: interest expense on borrowings	50,420
Less: interest paid	(51,724)
Exchange loss (balancing figure)	30,040
Loan carrying amount at 31 December 20X3	862,069

(3 marks)

The exchange loss is recognised in the financing category of the statement of profit or loss.

(1 mark)

(19 marks)

Question 9: Solution

Stamp Ltd

Plan A

	£'000
Employer's contributions for existing members (6% x £5,600,000)	336
Employer's contributions for new members (6% x £2,025,000)	122
Defined contribution pension expense	458

(2 marks)

Plan B

Interest income

	£'000
Opening plan assets	25,000
Contribution 1 January 20X3	450
Contribution 1 July 20X3 (£480k / 2)	240
Benefits paid (£1.2m / 2)	(600)
Transfer (£9.2m / 2)	(4,600)
Adjusted plan assets	20,490
Interest income at 6.2%	1,270

Contributions (2 marks)

Benefits (1 mark)

Transfer (1 mark)

Interest income (1 mark)

Interest expense

	£'000
Opening plan obligations	15,200
Benefits paid (£1.2m / 2)	(600)
Transfer (£8.9m / 2)	(4,450)
Adjusted plan obligations	10,150
Interest expense at 6.2%	629

Benefits (1 mark)

Transfer (1 mark)

Interest expense (1 mark)

Statement of profit or loss

General and administrative expenses

	£'000	
Current service cost from 1 January to 30 June (10% x £11m x 6/12)	550	**(1 mark)**
Current service cost from 1 July to 31 December (10% x [(£11m x 6/12) - £2,025,000])	348	**(1 mark)**
Loss on transfer (£9,200,000 - £8,900,000)	300	**(1 mark)**
Defined contribution expense (Plan A)	458	
	1,656	**(1 mark)**
Net interest income (financing category) (1,270 - 629)	641	**(1 mark)**

Total marks (15 marks)

Question 10: Solution

Gronlund plc

Workings

Total staff cost = Current service cost (9% x £28,000,000) + Past service cost £5,000,000 (given) = £7,520,000

(1 mark)

Interest income

	£'000
Opening plan assets	245,000
Contribution	
Paid evenly (£12m / 2)	6,000
1 October 20X3 (£5.2m / 2)	2,600
Benefits paid (£18m / 2)	(9,000)
Adjusted plan assets	244,600
Interest income at 6.5%	15,899

Contributions (2 marks)

Benefits (1 mark)

Interest income (1 mark)

Interest expense

	£'000
Opening plan obligations	298,000
Benefits paid (£18m / 2)	(9,000)
Additional obligation PSC	2,500
Adjusted plan obligations	291,500
Interest expense at 6.5%	18,948

Benefits (1 mark)

Additional obligation (1 mark)

Interest expense (1 mark)

Remeasurement of defined benefit pension plan

	Assets	Obligations
	£'000	**£'000**
Opening balance	245,000	298,000
Contributions (£12,000,000 + £5,200,000)	17,200	-
Current service cost	-	2,520
Past service cost	-	5,000
Benefits paid	(18,000)	(18,000)
Interest income/expense	15,899	18,948
	260,099	306,468
Closing balance	299,900	327,300
Remeasurement gain and actuarial loss	39,801	20,832
Net remeasurement gain (£39,801,000 - £20,832,000)	18,969	

Assets (2 marks)

Obligations (2 marks)

Net remeasurement gain (1 mark)

Extracts

Gronlund plc
Statement of profit or loss and other comprehensive income (extracts)
For the year ended 31 March 20X4

	£'000
Operating category	
General and administrative expenses (5,000 + 2,520)	(7,520)
Financing category	
Interest expenses on pension liabilities (£18,948,000 - £15,899,000)	(3,049)
	(1 mark)
Other comprehensive income:	
Income and expenses that will not be reclassified to profit or loss:	
Gain on remeasurement of defined benefit pension plan	18,969
	(1 mark)

Gronlund plc
Statement of financial position (extracts)
As at 31 March 20X4

	£'000
Non-current liabilities	
Pension liabilities (£327,300 - £299,900)	27,400
	(1 mark)

Total marks (16 marks)

Question 11: Solution

Feather Your Nest Bedding plc

March payroll

	£'000
Employees' deductions	969
Employer's national insurance contributions	439
	1,408
Employees' pension contributions (5%)	174
Increase in staff costs required	1,582

(1 mark)

		£'000	£'000
Dr	SPL – staff costs	1,582	
	Cr HMRC payable		1,408
	Cr Pension payable		174
Being correction to March payroll			

(1 mark)

Defined contribution pension plan

Employer's pension contributions (10%) = 2 x £174,000 (5% employee contribution) = £348,000

(1 mark)

		£'000	£'000
Dr	SPL – staff costs	348	
	Cr Pension payable		348
Being correction to employer's pension contributions			

(1 mark)

Defined benefit pension plan

Benefit payments

		£'000	£'000
Dr	PV of plan obligations	6,752	
	Cr FV of plan assets		6,752
Being benefit payments			

(1 mark)

Recognition in profit or loss

		£'000	£'000
Dr	SPL – staff costs	212	
	Cr PV of plan obligations		212
Being current service cost			

(1 mark)

	£'000
Interest expense on obligation (4.8% x [£73,100,000 - (£6,752,000/2)])	3,347
Interest income on assets (4.8% x [£72,650,000 + £360,000 – (£6,752,000/2)])	3,342
Net interest expense	5

Interest expense (1 mark)

Interest income (1 mark)

		£'000	£'000
Dr	SPL – interest expense	5	
Dr	FV of plan assets	3,342	
Cr	PV of plan obligations		3,347
Being net interest expense on pension plan			

(1 mark)

Remeasurement of defined benefit pension plan

	Assets £'000	Obligation £'000
Opening balance	72,650	73,100
Contributions	360	-
Benefit payments	(6,752)	(6,752)
Service costs	-	212
Interest	3,342	3,347
	69,600	69,907
Closing balance	70,180	69,570
Remeasurement and actuarial gains	580	337

Assets (2 marks)

Obligations (2 marks)

		£'000	£'000
Dr	FV of plan assets	580	
Dr	PV of plan obligations	337	
Cr	OCI – Retained Earnings		917
Being remeasurement of defined benefit pension plan			

(1 mark)

Total marks (14 marks)

Question 12: Solution

Stevenson Arbuthnot plc

Contributions

For pension contributions recognised as staff costs, both profits in the statement of profit or loss and retained earnings on the statement of financial position are understated.

(1 mark)

The pension deficit on the statement of financial position has been overstated.

(1 mark)

To correct for this error, the contributions must be removed from staff costs and recognised in the pension account as an increase in pension assets.

(1 mark)

		£'000	**£'000**
Dr	FV of plan assets (£2.6m + £4m)	6,600	
	Cr SPL – staff costs		6,600

Being correction to contributions paid

(1 mark)

Benefit payments

		£'000	**£'000**
Dr	PV of plan obligations	8,200	
	Cr FV of plan assets		8,200

Being benefit payments

(1 mark)

Recognition in profit or loss

Service costs

Current service cost = 9% x £36,000,000 = £3,240,000

(1 mark)

		£'000	**£'000**
Dr	SPL – staff costs	3,240	
	Cr PV of plan obligations		3,240

Being current service costs

(1 mark)

Gain on transfer = £4,500,000 - £4,300,000 = £200,000

(1 mark)

		£'000	£'000
Dr	PV of plan obligations	4,500	
Cr	FV of plan assets		4,300
Cr	SPL – staff costs		200

Being gain on transfer

(1 mark)

Interest income

	Assets £'000
Opening balance	60,800
Contributions 1 March	2,600
Benefit payments (£8,200,000 / 2)	(4,100)
Transfer on 1 September (£4,300,000 / 2)	(2,150)
Adjusted balance	57,150
Interest income (4.6% x £57,150,000)	2,629

Interest income (2 marks)

Interest expense

	Obligations £'000
Opening balance	66,400
Benefit payments (£8,200,000 / 2)	(4,100)
Transfer on 1 September (£4,500,000 / 2)	(2,250)
Adjusted balance	60,050
Interest expense (4.6% x £60,050,000)	2,762

Interest expense (2 marks)

Net interest expense = £2,762,000 – £2,629,000 = £133,000

(1 mark)

		£'000	£'000
Dr	SPL – interest expense	133	
Dr	FV of plan assets	2,629	
Cr	PV of plan obligations		2,762

Being interest on assets and obligations

(1 mark)

Remeasurement of defined benefit pension plan

	Assets	Obligation
	£'000	**£'000**
Opening balance	60,800	66,400
Contributions	6,600	-
Benefit payments	(8,200)	(8,200)
Service costs	-	3,240
Transfer	(4,300)	(4,500)
Interest income/expense	2,629	2,762
	57,529	59,702
Closing balance	65,800	71,600
Remeasurement gain and actuarial losses	8,271	11,898

Assets (2 marks)

Obligations (2 marks)

Remeasurement loss = £8,271k gain - £11,898k loss = (£3,627k) loss

(1 mark)

		£'000	**£'000**
Dr	OCI – loss on remeasurement of defined benefit pension plan	3,627	
Dr	FV of plan assets	8,271	
Cr	PV of plan obligations		11,898

Being net remeasurement loss

(1 mark)

Total marks (21 marks)

Question 13: Solution

Madison Groff Ltd

Comparison

Aspect	Scheme 1	Scheme 2
Type of scheme and accounting treatment	This is an example of an equity-settled share-based payment scheme. The scheme must be accounted for as an expense (SPL - staff costs), with a corresponding credit to equity. **(2 marks)**	This is an example of a cash- settled share-based payment scheme. This scheme will also record an expense, but a liability will be created rather than a credit to equity. **(2 marks)**
Valuation basis	The fair value of the service given by the eligible staff cannot be measured. Therefore, the cost will be measured using the fair value of the share options at 1 January 20X1, the grant date. The options should be valued at market price or by using an appropriate valuation technique (e.g. the option- pricing model). The scheme vests over a 2-year period. The scheme cost will be assessed at the end of each accounting period and half of the cost will be recognised in the first year, with the balance of the full cost recognised in the second year. **(4 marks)**	The cost will be measured based on the value of the SAR, which is expected to change over the 2- year term of the scheme. The SAR will be measured using an option-pricing model. Similar to Scheme 1, the vesting period will be considered and a proportion of cost recognised each year. As this is a 2-year scheme, half of the cost will be recognised in year 1 and the balance of the full cost will be recognised in year 2. **(3 marks)**
Revision of estimates	If there are changes to the number of eligible employees over the course of the vesting period, then the amount in equity should be adjusted to take account of the revised number of options to be issued. There should be no adjustment for changes in the fair value of the options as the amount should be based on the fair value at the vesting date. **(2 marks)**	The liability should be adjusted to reflect any changes in both the number of eligible employees and the fair value of the SARs. **(2 marks)**

Cost

Scheme 1

Year ended	Calculation	Expense	Equity
		£	£
31 December 20X1	50 options x (1,000 - 90) employees x £1.60 x 1/2 years	36,400	36,400
31 December 20X2	(50 options x [1,000 - 90] employees x £1.60) - £36,400	36,400	72,800

(4 marks)

Scheme 2

Year ended	Calculation	Expense	Liability
		£	£
31 December 20X1	(1,000 - 90) employees x 25 SAR x £2 x 1/2 years	22,750	22,750
31 December 20X2	([1,000 - 90] employees x 25 SAR x £4.50) - £22,750	79,625	102,375

(4 marks)

Total marks (23 marks)

Question 14: Solution

Unitron Ltd

1. Profit before tax growth

Year ended	Calculation	Average growth %	FV of option £
31 December 20X1	(12% + 12% + 12% + 12%) / 4 years	12.00	2.60
31 December 20X2	(12% + 15% + 15% + 15%) / 4 years	14.25	2.60
31 December 20X3	(12% + 15% + 19% + 12%) / 4 years	14.50	2.60

(1 mark)

Amounts for inclusion in the financial statements at 31 December 20X3

		Expense £'000	Equity £'000
31 December 20X3	(200,000 options x 5 employees x £2.60 x 3/4 years) - £1,560,000 (W)	390	1,950

(5 marks)

Working:

Amount recognised in equity at 31 December 20X2 = (200,000 options x 6 employees x £2.60 x 2/4 years) = £1,560,000

(3 marks)

2. Unitron should disclose:

- A description of the share-based payment arrangement, including any vesting conditions. Unitron should therefore disclose that it is an equity-settled, share-based payment arrangement provided to its executive directors, that the directors must remain in employment for a period of at least 4 years and that the company must achieve at least 10% growth in profit before tax.
- A reconciliation of the movement in the number of shares outstanding at the beginning and end of the period, showing shares granted, exercised, lapsed or expired in the period. For Unitron, this would include the additional shares granted due to another year of the vesting conditions elapsing and the shares that expired due to one director leaving.
- Information relating to the fair value of the options, such as reference to any option pricing model that Unitron may have used.
- The effects on the financial statements. Unitron will disclose that the share-based payments relating to equity-settled share options resulted in an expense of £390,000 in the period.
- There is no requirement to separately disclose the amount accumulated in equity, however, the equity amounts will be included in the statement of changes in equity.

(5 marks)

Total marks (14 marks)

Question 15: Solution

Victory Rose plc

Share options (equity-settled)

Adjustment to other reserves

Average growth rate of new customers = 1/3 years x (9% + 9% + 5%) = 7.7% (<8%)

	£'000
Reserve in relation to share options at 30 September 20X7	750
Required reserve at 30 September 20X8 (4 directors x 15,000 options x £9	540
Adjustment required	(210)

(1 mark)

20X8 calculation (1 mark)

Adjustment required (1 mark)

		£'000	£'000
Dr	Retained earnings	210	
Cr	SPL – staff costs		210

Being correction to reserve in relation to share options, prior to exercise

(1 mark)

Exercise of options

	£'000
Share capital (3 directors x 15,000 shares x £0.50)	23
Share premium (3 directors x 15,000 shares x £34.50)	1,552
Proceeds from issue of share capital	1,575

(1 mark)

		£'000	£'000
Dr	SPL – other operating income	1,575	
Cr	Share capital		23
Cr	Share premium		1,552

Being correction to issue of shares under option

(2 marks)

Share appreciation rights

Year ended	Calculation	Expense	Liability
30 September 20X7	(1,420 - 296) employees x 50 SAR x £3.50 x 1/3 years	66	66
30 September 20X8	([1,420 - 311] employees x 50 SAR x £3.80 x 2/3 years) - £66,000	74	140

(4 marks)

		£'000	£'000
Dr	SPL – staff costs	74	
Cr	Other payables		74

Being cost of share appreciation rights for the year ended 30 September 20X8

(1 mark)

Total marks (12 marks)

Question 16: Solution

Sorrento Azure plc

Managers' incentive scheme

This is a cash-settled, share-based payment scheme, with those managers who are still with the company at the end of the 4-year vesting period on 31 May 20X7 receiving a cash payment.

(1 mark)

The cost, and an associated liability, will be spread over the vesting period based on an estimate of the number expected to qualify for the reward and the fair value of the share appreciation rights. As no staff can join after 1 June 20X3, no account is taken of managers recruited after that date.

(1 mark)

The cost, recorded in the statement of profit or loss for the year ending 31 May 20X4 as staff costs, will be: ((160 - (4 x 8)) x 4,000 x £3.60) / 4 = £460,800

(3 marks)

The corresponding liability, as not due to be settled until 20X7, will be presented in non-current liabilities in the statement of financial position at 31 May 20X4.

(1 mark)

The liability gives rise to a deductible temporary difference which gives rise to a deferred tax asset of £92,160 (£460,800 x 20%).

(1 mark)

This would reduce the tax expense in the statement of profit or loss.

(1 mark)

New retail outlets

a) The cash purchase would result in an increase to property, plant and equipment (PPE) of £23m with a corresponding reduction in the bank account balance.

(1 mark)

b) The purchase in exchange for shares would be based on the fair value of the stores acquired (ie £23m), and not the fair value of the shares given in exchange.

(1 mark)

c) PPE would increase by £23m and equity by the same amount, being share capital of £2m (£4m x 50p) and the balance of £21m would be added to share premium.

(1 mark)

In both cases, the retail outlets would be depreciated from the date of purchase, leading to an expense in the statement of profit or loss and a reduction in the carrying amount in the statement of financial position. There is no deferred tax impact relating to the retail outlets.

(1 mark)

Total marks (12 marks)